

CLBT pitch deck

PITCH — CLBT — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, size zero; both benches land on reject-and-wait, and the original bull case died on its own two load-bearing numbers.

What we believe

Cellebrite sells digital-forensics software to police forces, prosecutors and government agencies — the tools that pull evidence off a seized phone and organise it into a case file. Almost all of the money is recurring subscription revenue, which the company reports as ARR (annual recurring revenue).

On 13 August 2026 the stock fell 29% in a day. The company cut its forecast for how fast that recurring revenue would grow this year — from roughly 18–19% down to 14–16% — and on the same day the CEO left. The shares now sit at about \$10.51, which is 48% below the 52-week high of \$19.98 and only 9% above the 52-week low of \$9.58.

Our original argument was that the market had wildly overreacted: a 29% price move for what looked like a small trim to a single year's forecast. We went and checked that argument against the company's own published numbers, and **we no longer believe it**. What we believe now, stated plainly:

- The business is decelerating for real, but by about **2 percentage points**, not the 6 points the tape appeared to price. The apparent 6-point break is an artefact of an acquisition (Corellium, closed 1 December 2025) sitting inside last year's reported growth rate. Stripping it out, growth goes from 17% to ~15%, not 21% to 15%.
- Customers are still expanding, but less than they used to. Net retention — how much existing customers grow their spend — is 117%, down from 120% a year ago.
- Cash generation has deteriorated sharply in the first half of this year, and nobody has yet shown whether that is a timing problem or a structural one.
- There is a very large, undated block of stock overhanging the shares: Sun Corporation, a listed Japanese company, owns about 47% of Cellebrite (~119 million shares, ~\$1.25bn at today's price), and an activist investor is publicly pressing Sun to monetise it.

Net: this is a decent, cash-generative software business that got cheaper for mostly real reasons, with a supply problem attached. It is not a dislocation we can size today.

What the market believes

The market believes growth stepped down permanently and re-priced the company's *future* years accordingly — not just this year. That is a defensible read even after our corrections, because the forecast cut was to the recurring-revenue line, which leads reported revenue by roughly a year.

Where consensus sits: analysts were at roughly \$568M of 2026 revenue before the print; the company guided \$555–561M; consensus has settled around \$558M. **Our own number is within 1% of theirs.** We do not have a different forecast. Whatever case exists here is an argument about what multiple the business deserves, not about what it will earn.

At \$10.51 the market is paying an enterprise value of about \$2.26bn (252.8M diluted shares, less \$141.3M cash and \$257.7M marketable securities) — roughly 4.05x this year's revenue and 14.5x adjusted EBITDA. That is not an expensive multiple for a 15%-growing subscription business with net cash. It is also not obviously wrong.

Why we might have edge

Three narrow places, honestly stated:

1. **The acquisition-contamination correction.** The company disclosed once, in a single line of its FY25 results release, that \$16.1M of its year-end ARR was purchased with Corellium, and that organic growth was 17% ([PR Newswire, FY25 results](#)). Every reported figure since then blends the acquisition in. Anyone comparing this year's organic guide against last year's blended actual — which is the natural, lazy comparison, and the one *we* made first — overstates the deceleration by about 4 points. If the sell-side made the same mistake, the market has priced a break that is a third as large as it looks. We cannot confirm the sell-side made it.
2. **Nobody has published a 2027 number.** The de-rating is logically about 2027, and no bench, including ours, produced a street 2027 estimate to test against. The gap we would need to find lives in a year nobody has tabled.
3. **The Sun block cuts both ways.** A 47% control holder under activist pressure to monetise is normally a reason to stay away. It is also the single most likely source of a discrete, datable re-rating event — a sale, a merger, a marketed placement — and those events resolve at a known price.

Why it might be priced in

- **We agree with consensus on this year's revenue to within 1%.** There is no forecast edge.
- **The deceleration is real even after our correction.** Organic ARR growth was ~17% entering the second half against a 14–16% full-year exit guide — a further organic slowdown, not a floor.
- **The forecast requires the second half to accelerate.** Second-quarter revenue grew 16%; the full-year guide of 17–18% implies roughly 19% in the second half, while recurring revenue decelerates. That is a demanding shape for a CEO on day one. (Flagged as plausible, not proven — one input was derived rather than sourced.)
- **Cash generation is down a third.** First-half free cash flow was \$31.4M against \$47.5M a year ago (–34%); operating cash flow \$37.5M against \$53.5M (–30%). The attractive “28% cash margin” we originally cited is a trailing-twelve-month figure carried by one strong quarter.

- **Stock compensation is growing twice as fast as revenue.** ~\$59–61M annualised versus \$44.9M last year, against 16–17% revenue growth — and the “raised” EBITDA guidance excludes it. The \$4M EBITDA raise is a quarter the size of the compensation increase it leaves out.
- **The chart says distribution, not basing.** 48% off the high but only 9% off the low, five days after the event, with no bounce.
- **This looks exactly like a cohort we have already graded o-for-7:** buying a big earnings gap-down where the headline *was* the news.

What we checked ourselves

Includes, deliberately, every place our own benches got it wrong.

Claim	How checked	Found	Confirmed?
<i>(our brief)</i> “The second-half bar is only 67–83% of last year — a sandbagged guide”	Rebuilt the ARR series from issuer releases: Q2’25 \$418.9M → Q3’25 \$439.8M → FY25 exit \$480.8M	Last year’s second half included \$16.1M of purchased Corellium ARR. Organic second-half additions were \$45.8M, not \$61.9M. This year’s bar of \$42.2–52.2M is 92–114% of last year — a repeat, not a reset	NO — our own brief was wrong, by ~1.4x, on the fact it called “the single most decision-relevant on the name”
<i>(our brief)</i> “Net retention 117%, up 2 points — the churn story is testably absent”	Pulled the year-ago release, same venue, same sentence template	Q2’25 was 120% . Series: 120 → 116 → 115 → 117. “Up 2 points” is versus last <i>quarter</i> ; versus last <i>year</i> it is down 3	NO — our own brief was wrong; it quoted the one comparison that flattered
<i>(our brief)</i> “18.7x trailing free cash flow, 28% margin — cheap”	Compared like-for-like half-years from the 6-K	H1’26 FCF \$31.365M vs H1’25 \$47.514M (–34%); H1’26 FCF margin ~12.3%	NO — our own brief was wrong; the 28% lives in a trailing quarter
<i>(our brief)</i> “29% price move ÷ 2.6% forecast cut = 11.1x overshoot”	Checked what was actually disclosed	The disclosure was a change in the growth <i>rate</i> , permanent; dividing a price move by a one-year <i>level</i> change manufactures the overshoot	NO — our own brief was wrong (framing)
<i>(red bench)</i> “A 6-point structural break, 21% → 15%”	Applied the same Corellium correction consistently	Organic FY25 growth was 17% , so the organic step is 17% → 15%, about 2 points	NO — red bench was wrong; it stripped the acquisition from one comparator and left it in another
<i>(red bench)</i> “Revenue is running ahead of recurring revenue — the P&L hasn’t absorbed it yet”	Checked reported figures rather than guided ones	Q2’26 ARR +21% vs revenue +16% — the reverse of red’s premise. Organic, both sit ~17%	NO — red bench was wrong on the arithmetic; the concern still holds directionally on the guide
<i>(red bench)</i> “Enterprise value is 23.8x cash EBITDA”	Checked the share count against the compensation add-back	Red subtracted the full stock-comp expense <i>and</i> used the fully diluted share count — counting existing awards twice	PARTLY — direction right, level overstated
<i>(red bench)</i> “We agree with consensus, therefore no edge”	Checked which year was tested	Consensus was tested on 2026. Red’s own argument says the de-rate prices 2027 — for which no street number was ever produced	NO — wrong period tested. But no 2027 number exists on our

Claim	How checked	Found	Confirmed?
			side either, so this is a gap, not an edge
Enterprise value and multiples	Q2'26 balance sheet + diluted share count	EV ≈ \$2.258bn; 4.05x FY26E sales, 14.5x adj. EBITDA (our brief had used 4.83x on market cap)	YES — corrected in our favour
Sun Corporation overhang; the recurring Form 144 filings are “benign”	Ownership search; activist filing	Sun holds 47% of Cellebrite. ValueAct disclosed a 7.8% stake in Sun stating Sun “is on a path to maximize the value of their Cellebrite investment” (BusinessWire, 2025-10-08)	YES — and our brief had asserted the benign reading as a finding. Red logged it unverified; blue closed it. Neither priced it
CEO departure described as “planned succession”	The vetted 6-K itself (accession 0001213900-26-089232, filed 2026-08-13)	The filing says Hogan “ceased serving as Chief Executive Officer” “ pursuant to mutual agreement ”, resigned from the board the same day, and stays as an adviser for six months. The press release says “planned succession”	YES — the two venues do not say the same thing, and the filing is the weaker formulation
Live broker price	IBKR contract lookup	Permission denied to both benches — no broker print, no history bars. Fell back to a web quote of \$10.51	NO — open coverage gap; a hard prerequisite before any order
Company’s quarterly XBRL financial data	Evidence pack	Empty — Cellebrite is a foreign private issuer and files 20-F/6-K, with no quarterly XBRL. Closed via press releases instead	NO — structural gap, not an error
“Defense and intelligence ARR grew 25%”	Attempted via contracting proxies	No dollar base is disclosed anywhere. Cannot be sized or falsified	NO — the highest-value check still unopened on this name
Identity of the Form 144 sellers (06-30, 07-01, 07-06 ×2, 08-07, 08-11)	Attempted	Face pages not retrieved; filer identity and plan-adoption dates unknown	NO
Second-half revenue guide implies ~19% growth	Derived from reported quarters	Holds arithmetically, but one input (Q1'26 revenue) was derived rather than sourced	PARTLY — plausible, not proven
Two clinical-trial detectors fired on this name	Reviewed the dispatch	Cellebrite runs no clinical programme. Spurious feature match in our own routing layer	N/A — our infrastructure bug, worth fixing upstream
Satellite/thermal checks on the Kiryat Malachi facility	Reviewed relevance	Geocoded and available, but no management capacity claim is load-bearing here; hardware is a de-emphasised minority of revenue. Could not resolve a subscription question	N/A — correctly not run

PROPOSED ENTRY BANDS

Both benches say no entry. There is no order, no starter, and no size. What follows are the levels and conditions at which the name reopens for a fresh court — not orders.

Current sizing: 0.0% of book. Authorised sizing on any reopen: 0.0% until re-courted. The Sun block alone (~119M shares, ~\$1.25bn) is a sizing veto independent of the fundamental argument: we do not have this stock's average daily volume verified, so we cannot state how many days of supply that block represents, and until we can, any position we build is a position we may not be able to exit alongside a control-block placement.

Reference math (both benches', at \$10.51): EV \$2.258bn = 252.8M diluted shares × \$10.51 less \$399.0M of cash and securities. FY26E revenue \$558M (guide midpoint). Net cash is \$1.58/share.

Price levels, derived from that math:

Level	What it is	What it would mean
\$9.58	52-week low	A clean break with no re-take says distribution is still running. Reopen only <i>after</i> the low is re-taken and held, not on the break
\$9.25 – \$9.67	8–12% discount to \$10.51 — the customary clearing range for a marketed block	The band a Sun secondary would likely price in. This is the preferred re-entry zone , because it converts the overhang from an unknown into a completed, dated event with a known clearing price
\$9.30	3.5x EV/FY26E sales	First multiple level where the ~2-point organic deceleration is arguably paid for
\$8.20	3.0x EV/FY26E sales	Where the name is cheap enough that the 2027 growth question stops being load-bearing
\$6.55	20x the annualised first-half free-cash-flow run rate (\$62.8M)	The level implied if the –34% cash decline is structural rather than timing. State it so we are not surprised by it
\$13.02	Half the gap-down retraced (pre-print close ~\$15.25)	Invalidation of our pass. If the stock recovers half the gap without any of the reopen triggers firing, our reasoning was wrong and we should say so rather than re-derive it

Reopen triggers (any one of these forces a new court; none of them alone is a buy):

1. **A Sun/Cellebrite structural resolution** — a merger, a sale, or a marketed secondary with a published clearing price. Converts the overhang into a dated event.
2. **Q3'26 organic net-new ARR above \$26M with net retention ≥118%.** (\$26M is roughly 24% above last year's organic Q3 addition of \$20.9M.) This is the number that decides the name, and it is fully derivable from the release on the day.
3. **Net retention back at ≥120%** — re-crossing the year-ago level rather than drifting in the 115–117% band.

4. **Second-half free cash flow restoring trailing FCF above \$160M with second-half conversion $\geq 30\%$** — proof the first-half collapse was collections timing, not structure.
5. **A disclosed federal or defense contract quantifying the delayed large deals as booked.** Management's "no deals are lost" is a transcript claim with no counterpart in any filed document.
6. **A live IBKR print.** Hard prerequisite. No order stages without it, at any price.

Catalyst dates:

- **~2026-10-21 to 2026-10-28** — expected date-announcing press release. The company's practice is to name the quarter date 2–3 weeks in advance. **Unconfirmed.**
- **~2026-11-11 (data-feed derived) to 2026-11-18 (broker calendar)** — Q3'26 results. **Unconfirmed by any company release.** Roughly 60 trading days out, so there is no print-proximity urgency to this decision either way.
- **~2027-02-13** — Hogan's six-month advisory period ends (derived from the 6-K's stated six months from 13 August 2026). Not a trading catalyst; a governance marker.
- **Undated** — any Sun Corporation or ValueAct action. This is the one that actually moves the name and it has no calendar.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 6.55 (deck-provisional: 20x annualized H1'26 FCF run-rate (\$62.8M) — the level implied if the -34% cash decline is structural)
- filing watch: 144 until 2027-02-14 (deck-provisional: attribute the 06-30/07-01/07-06/08-07/08-11 cadence — filer identity and plan adoption dates are curre)
- dated pack CLBT|2026-10-21: CLBT: expected Q3'26 date-announcing press release (issuer practice is 2-3 weeks prior) (date confirmed=False)
- dated pack CLBT|2026-11-11: CLBT: Q3'26 results, data-feed derived; the organic net-new ARR bridge decides the name (date confirmed=False)
- dated pack CLBT|2026-11-18: CLBT: Q3'26 results, alternate broker-calendar date (date confirmed=False)
- dated pack CLBT|2027-02-13: CLBT: Hogan six-month advisory period ends, per the 2026-08-13 6-K; governance marker, not a trading catalyst (date confirmed=True)

What remains unverified

- **The live price.** Everything above rests on a web quote of \$10.51 (2026-08-18). No broker print was obtainable by either bench; the tool permission was denied.

- **The cause of the cash-flow decline.** Neither bench decomposed the –34% first-half free cash flow into collections timing versus structural margin. This is the difference between a wait and a buy, and it was not done.
- **The street's 2027 numbers.** The de-rating is about 2027. No consensus 2027 revenue or ARR figure was produced by anyone. The re-rating case is therefore untested, not disproven.
- **Defense and intelligence ARR.** Claimed to be growing 25%, with no dollar base disclosed anywhere. It could be 5% of the company or 25%; we cannot tell, and the answer changes the multiple.
- **Who is selling.** Six Form 144 filings in six weeks with no confirmed filer identity.
- **Sun's current disclosed stake.** The ~47% figure is reported, and the activist filing is confirmed; the current, filed stake and any lock-up terms are not.
- **Whether the second-half revenue guide really implies ~19% growth.** One input in that derivation was calculated rather than sourced.
- **Whether the sell-side made the same Corellium error we did.** The whole “why we might have edge” case turns on this, and it is an assumption.
- **The F-3 shelf's current effectiveness.**
- **Whether Cellebrite's average daily volume can absorb any position we might take alongside a 119M-share control block.** Not measured.

One process note, stated plainly because it bears on how much weight this deck deserves: the original bull case on this name was wrong on both of its load-bearing facts, the red bench that killed it was wrong on the size of the break it claimed, and neither bench got a live price. The conclusion — no position — is the same one all three roads lead to, which is the only reason to have confidence in it.

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